UNITED STATES BANKRUPTCY COURT
MIDDLE DISTRICT OF NORTH CAROLINA
WINSTON-SALEM DIVISION

IN RE: CHADLEY MANAGEMENT INC., DEBTOR(S)	)	CASE NO.: 22-50726 CHAPTER 7
BRIAN R. ANDERSON, CHAPTER 7 TRUSTEE FOR CHADLEY MANAGEMENT INC., Plaintiff, vs. NOVUS CAPITAL FUNDING LLC, Defendant.	)	ADVERSARY PROCEEDING NO.:

COMPLAINT

Plaintiff, Brian R. Anderson, Chapter 7 Trustee for Chadley Management Inc. (hereinafter referred to as the "Plaintiff," or "Trustee"), complaining of Novus Capital Funding LLC (hereinafter referred to as "NCF" or "Defendant") hereby alleges and says as follows:

PARTIES, JURISDICTION AND VENUE

1. The Debtor herein filed a voluntary petition under Chapter 7 on December 8, 2022 ("Petition Date"). Brian R. Anderson is the duly appointed, qualified and acting Chapter 7 Trustee.

2. Upon information and belief, Novus Capital Funding LLC is a limited liability company with a principal place of business located at 7 Elmwood Drive, Suite 301, New City, NY 10956.

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GENERAL ALLEGATIONS

3. This Court has jurisdiction over this matter pursuant to 28 U.S.C. § 157 and § 1334.

4. This is a core proceeding under 28 U.S.C. § 157(b).

5. Venue is appropriate in this Court pursuant to 28 U.S.C. §§ 1408 & 1409.

GENERAL ALLEGATIONS

6. Plaintiff repeats and re-alleges the allegations contained in paragraphs 1 through 5 inclusive, as if more fully set forth at length herein.

7. This is an action to declare under 28 U.S.C. § 2201(a) that the Agreements between the Debtor and Defendant are: (i) loans, (ii) usurious under New York Penal Law § 190.40, and (iii) void under New York Gen. Oblig. Law § 5-511. Additionally, this action seeks to avoid and recover the transfers of property from the Debtor to the Defendant pursuant to §§ 548(a), and 550 of the Bankruptcy Code.

8. The Debtor is a Delaware corporation 100% owned by William L. Rhew, III.

FIRST AGREEMENT

9. On April 12, 2021, the Debtor—through William Rhew—executed a "Future Receivables Agreement" ("First Agreement") with the Defendant that purported to sell $148,000.00 of future receipts of the Debtor in exchange for a payment of $100,000.00 to the Debtor. A copy of the First Agreement is attached hereto as Exhibit A.

10. According to the First Agreement, Defendant was to be repaid each week in the amount of $7,400.00. The First Agreement states that this amount represented 15% of the future revenue of the Debtor.

11. The repayment of $148,000.00 through payments of $7,400.00 results in 20 payments. Nineteen (19) weeks equals 133 calendar days, or approximately 0.36438 years. A simple interest calculation yields an annual interest rate on the First Agreement of approximately 151.73%.[1]

12. According to the First Agreement, the Defendant was authorized to file a UCC-1 Financing Statement that encumbered all assets of the Debtor—not just the amounts purportedly

FIRST AGREEMENT

9. On April 12, 2021, the Debtor—through William Rhew—executed a "Future Receivables Agreement" ("First Agreement") with the Defendant that

[1] Interest Amount ($48,000.00—the difference between the $100,000.00 received and the $148,000.00 to be repaid) = Principal Amount ($100,000.00) x Rate of interest (here the variable to be calculated) x Time in years (0.36438).

First Agreement also provided a personal guarantee of William Rhew for all amounts owed, Id. at pp. 16-18.

14. According to the First Agreement, if the Debtor ever defaulted on its obligations to Defendant, then the Purchased Percentage jumped from 15% percent of revenues to 100%, and all amounts would be drafted from the Debtor's bank account via ACH. This meant that Defendant would be diverting all daily sales amounts paid to the Debtor in the event of a default. Agreement.

15. On April 21, 2021, the Debtor paid Defendant $7,400.00 each week through August 11, 2021. A total of $125,800.00 was paid to Defendant from the Debtor's Truist bank checking account ending in 4899 on account of the First Agreement.

SECOND AGREEMENT

16. Sometime in August 2021, the Debtor entered into a second agreement with Defendant that, upon information and belief, was akin to the First Agreement set forth above. The Defendant has failed to respond to a court order requiring production of, *inter alia*, this agreement. The Plaintiff reserves the right to amend this Complaint to include the information in the August 2021 agreement and seek declaratory relief, avoidance, and recovery of the monies paid to the Defendant on account of this agreement (upon information and belief over $310,800.00 was paid to Defendant on account of the second agreement).

17. A total of $436,600.00 was paid to Defendant on account of the First and Second Agreements (collectively, the "Agreements"). The payments made by the Debtor on account of the Agreements are the "Transfers." A listing of the Transfers is attached hereto as Exhibit B.

Debtor on account of the Agreements are the Transfers." A listing of the Transfers is attached hereto as **Exhibit B**.

INSOLVENCY

18. At the time of the Transfers, the Debtor was insolvent. According to the Debtor's internal financial statements and tax returns, at the end of December 2020, the Debtor had negative equity (the Debtor's assets were exceeded by its liabilities). At the time of the Transfers, the Debtor could not meet, *inter alia*, its ongoing sales and income tax obligations.

19. According to the Chapter 7 schedules of the Debtor, on the Petition Date the Debtor was insolvent. The Debtor's Chapter 7 schedules reflect assets totaling $2,485,640.59, and liabilities of $20,305,243.70. [Docket Entry No. 16, p. 2]. At all times between the Petition Date and April 2021, the Debtor was insolvent.

20. As part of the underwriting for the Agreements, the Debtor provided financial information to the Defendant. The Defendant knew, or should have known, of the insolvency of the Debtor at the time of the Agreements.

FIRST CLAIM FOR RELIEF

(Declaratory Judgment – 28 U.S.C. § 2201(a))

21. Plaintiff repeats and re-alleges the allegations contained in paragraphs 1 through 20 inclusive, as if more fully set forth at length herein.

22. 28 U.S.C. § 2201(a) sets forth, in relevant part:

> [A]ny court of the United States, upon the filing of an appropriate pleading, may declare the rights and other legal relations of any interested party seeking such declaration, whether or not further relief is or could be sought. Any such declaration shall have the force and effect of a final judgment or decree and shall be reviewable as such.

23. The Plaintiff seeks a judgment from this Court declaring that:

(i) The Agreements are loans under New York law;

(ii) The rates of interest charged by the Agreements are usurious under N.Y. Penal Law § 190.40; and,

(iii) The Agreements are void *ab initio* under N.Y. Gen. Oblig. Law § 5-514.

24. As the Defendant bore no risk of loss under the Agreements, the Agreements were actually loans to the Debtor and not an outright sale of assets. See e.g., *Nickey Gregory Co. v. Agricap, LLC*, 597 F.3d 591 (4th Cir. 2010); See also, *Lange v. Inova Capital Funding, LLC (In re Qualia Clinical Service, Inc.)*, 652 F.3d 933 (8th Cir. 2011); *Cay Call, LLC v. Foster (In re Shoot the Moon, LLC)*, 635 B.R. 797 (Bankr. Mont. 2021).

25. By including in the Agreements, *inter alia*, a confession of judgment, a personal guarantee of the owner of the Debtor, a security interest in all assets of the Debtor (not just the alleged assets that were purportedly sold), an irrevocable and unconditional power-of-attorney in favor of Defendant, and the ability to sweep via ACH 100% of the Debtor's revenues, the Defendant did not bear any risk of loss under the Agreements—thus making them loans. This Court should declare that the Agreements are loans from the Defendant to the Debtor under New York law.[2]

26. Being loans under New York law, the Agreements charged the Debtor approximate annual rates of interest of 131.73% and _____%, respectively.

27. Under New York law, the charging of interest in excess of 25% per annum is criminally usurious. N.Y. Penal Law § 190.40.

28. This Court should declare that the Agreements charge rates of interest that are usurious and violate N.Y. Penal Law § 190.40.

29. According to N.Y. Gen. Oblig. Law § 5-511[3]("Usurious contracts void"), a contract that charges interest in excess of that prescribed by New York law is void.

[2] In a case with an agreement substantially similar to the one used by the Defendant (the issue of loan versus sale was not before the Court), a justice on the New York Court of Appeals indicated that such an agreement was a loan. See, *Plymouth Venture Partners, II v. GTR Source, LLC*, 37 N.Y.3d 591, 609 n. 2, 163 N.Y.S.3d 467, 183 N.E.3d 1185 (2021) ("The arrangements…appear less like factoring agreements and more like high-interest loan that might trigger usury concerns.") (WILSON, J., dissenting).

[3] It should be noted that under N.Y. Gen. Oblig. Law § 5-521(1), the general rule is that corporations cannot "interpose the defense of usury in any action." However, Section 5-521(1) has no application to loans that violate N.Y. Penal Law § 190.40. See, N.Y. Gen. Oblig. Law § 5-521(3). See also, *Adar Bays, LLC v. GeneSYS ID*, 37 N.Y.3d 320, 157 N.Y.S.3d 800, 179 N.E.3d 612 (2021); *Plymouth Venture Partners, II v. GTR Source, LLC*, 37 N.Y.3d 591, 609 n. 2, 163 N.Y.S.3d 467, 183 N.E.3d 1185 (2021)

obligation under section 548, transfers made by the debtor on account of that obligation are not made for reasonably equivalent value, and may be set aside as actually or constructively fraudulent.") (citation and quotation omitted). See also, Silverman v. Paul's Landmark, Inc. (In re Nirvana Rest., Inc.), 337 B.R. 495, 502 (Bankr. S.D.N.Y. 2006); and, Tabas v. Lehman (In re Capitol Invs., Inc.), 473 B.R. 838, 846 (Bankr. S.D. Fla. 2012) ("a transaction that is illegal under the laws of the State [ ] will not support 'value' for purposes of sections 548 or 550.").

30. This Court should declare that the Agreements are void under N.Y. Gen. Oblig. Law § 5-511.

SECOND CLAIM FOR RELIEF

(Avoidance of Constructively Fraudulent Transfers – 11 U.S.C. § 548(a)(1)(B))

31. Plaintiff repeats and re-alleges the allegations contained in paragraphs 1 through 30 inclusive, as if more fully set forth at length herein.

32. With the obligations owed to Defendant being declared void under N.Y. Gen. Oblig. Law § 5-511, the Debtor's payments on the void Agreements were made without receiving reasonably equivalent value. See e.g., *Redmond v. Spiritbank (In re Brooke Corp.)*, 541 B.R. 492, 507 (Bankr. Kan. 2015) ("If the court avoids an obligation under section 548, transfers made by the debtor on account of that obligation are not made for reasonably equivalent value, and may be set aside as actually or constructively fraudulent.") (citation and quotation omitted). See also, *Silverman v. Paul's Landmark, Inc. (In re Nirvana Rest., Inc.)*, 337 B.R. 495, 502 (Bankr. S.D.N.Y. 2006); and, *Tabas v. Lehman (In re Capitol Invs., Inc.)*, 473 B.R. 838, 846 (Bankr. S.D. Fla. 2012) ("a transaction that is illegal under the laws of the State [ ] will not support 'value' for purposes of sections 548 or 550.").

33. The Transfers were made within two (2) years of the petition date.

34. The Transfers were transfers of an interest of the Debtor in property.

35. For the reasons alleged herein, the Debtor was insolvent on the dates that the Transfers were made or became insolvent as a result of such transfers.

36. At the time of the Transfers, the Debtor was engaged in business or a transaction, or was about to engage in business or transactions, for which any property remaining with the Debtor was an unreasonably small capital.

37. At the time of the Transfers, the Debtor intended to incur, or believed that the Debtor would incur, debts that were beyond the Debtor's ability to pay as such debts matured.

38. The payments totaling $436,600.00 made by the Debtor on account of the void Agreements are avoidable as constructively fraudulent conveyances pursuant to 11 U.S.C. § 548(a)(1)(B); and the Plaintiff is entitled to avoid the Transfers for the benefit of the estate.

THIRD CLAIM FOR RELIEF

(Recovery of Avoided Transfers – 11 U.S.C. § 550(a)(1))

(Recovery of Avoided Transfers – 11 U.S.C. § 550(a)(1))

39. Plaintiff repeats and re-alleges the allegations contained in paragraphs 1 through 38 inclusive, as if more fully set forth at length herein.

40. Defendant received $436,600.00 in transfers avoidable under 11 U.S.C. § 548(a)(1). Defendant was the initial transferee of the avoidable transfers it received from the Debtor. The avoidable transfers made to Defendant were for the benefit of Defendant.

41. Plaintiff seeks a judgment against Defendant in the amount of the avoidable transfers received by Defendant under 11 U.S.C. § 548, plus pre-judgment interest at the legal rate until judgment is entered.

WHEREFORE, Plaintiff prays that the Court grant the following relief:

A. To declare that: (i) the Agreements are loans under New York law; (ii) the rate of interest charged by the Agreements are usurious under N.Y. Penal Law § 190.40; and, (iii) the Agreements are void under N.Y. Gen. Oblig. Law § 5-511;

B. To avoid the constructively fraudulent transfers the Debtor made to the Defendant totaling $436,600.00 under 11 U.S.C. § 548(a)(1)(B);

C. To enter judgment in favor of the Plaintiff against the Defendant under 11 U.S.C. § 550(a) in the amount of the avoided transfers Defendant received;

D. To award pre-judgment and post-judgment interest at the maximum legal rate until paid in full, with such recovery being for the benefit of the Debtor's estate;

E. To tax the costs of this action against the Defendant; and,

F. For such other and further relief the Court deems just and proper.

F. For such other and further relief the Court deems just and proper.

Respectfully submitted this 5th day of December, 2024.

RICHARD P. COOK, PLLC

/s/ Richard P. Cook

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